

MANAGEMENT & ENTREPRENEURSHIP

Case Study

From 9 Tables to 25+ Franchises

The Kapoors Cafe Journey — Built on Grit, Systems & Smart Business Design

Mr. Arpit Kapoor | Founder & CEO, Kapoors Cafe

Indian Restaurant Industry | Franchise Business Model | M&E Case Study

Management & Entrepreneurship



Founder Background

Mr. Arpit Kapoor — from financial comfort to adversity, and back stronger



Mr. Arpit Kapoor

Founder & CEO
Kapoor's Cafe

Early Life

Born & Raised in Delhi

Grew up in a financially stable family. Strong values and entrepreneurial instinct instilled early.

Schooling

Sherwood College, Dehradun

Prestigious residential school — built discipline, leadership, confidence and resilience.

Graduation

Modest College — Adapted Well

Family faced a financial setback. Shifted to a modest institution; learned to hustle without privilege.

Catalyst

Financial Setback — Turning Point

Family business decline forced a mindset shift — from comfort-seeker to self-made problem-solver.

Key Insight: Adversity became the catalyst — not comfort, but challenge shaped the entrepreneurial mindset.

Entrepreneurial Start — Kapoors Cafe

₹12 Lakh. 9 Tables. One Big Dream. HSR Layout, Bengaluru.

₹12L

Initial Capital

100% self-funded
from call centre savings

9 Tables | HSR Layout



Kapoors Cafe — Actual Outlet

Brand

Kapoors Cafe — 'Chak De Phatthey'

Format

Casual dhaba-style dining with modern
ambiance

Cuisine

North Indian comfort food — parathas, dal,
kulcha

Strategy

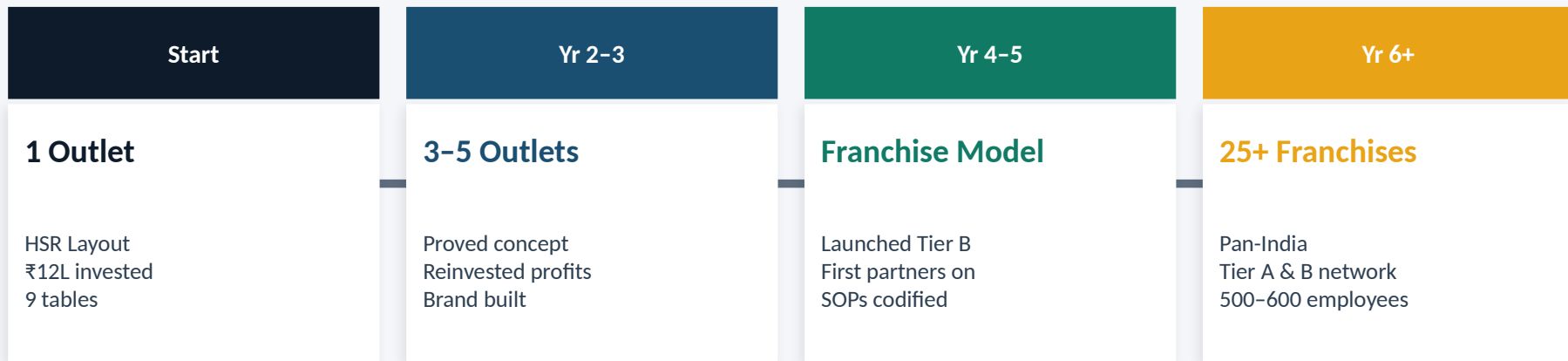
Build local loyalty first, then think scale

Year 1

Achieved break-even within first operating
year

Growth Journey

Disciplined expansion — from a single outlet to a scalable franchise network



Key Scaling Decisions

Franchising over owning

Capital-light expansion; partners take on local ops risk

SOP-first culture

Replicability ensures quality consistency across all outlets

No family in franchises

Meritocracy preserved — partners selected on capability, not relations

Reinvest profits early

Every rupee of early profit went back into systems and brand

Business Model

Franchise-based, capital-light, quality-controlled

Core Model Pillars

Franchise-Based

Partners invest capital; brand provides systems, training & supply chain support

Dual Revenue Channel

70% offline dine-in + 30% online delivery — balanced, resilient revenue mix

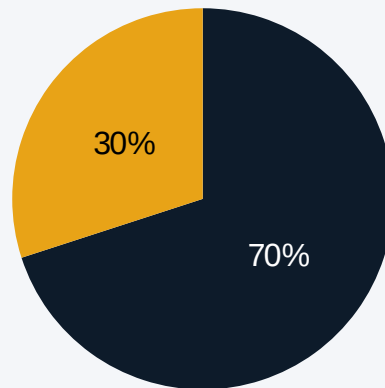
Centralized Procurement

Raw materials sourced centrally — cost control & quality uniformity

Brand Licensing

Franchisee pays royalty/fee; brand retains IP and quality authority

Revenue Channel Split



■ Offline (Dine-In) ■ Online (Delivery)

Value Proposition

Low risk for franchisees. Proven brand. Plug-and-play operations. Strong ROI within 2-3 years.

Franchise Investment Model

Two-tier structure designed for diverse investor profiles

TIER B — STANDARD

₹90L – ₹1 Cr

Investment Range

- Tier B city / smaller market
- Lower footfall zone
- Smaller outlet footprint
- Setup + training included
- Brand support from Day 1
- Suitable for first-time investors

TIER A — PREMIUM

₹2.5 Cr – ₹3 Cr

Investment Range

- Metro / Tier A city market
- High footfall premium locations
- Larger outlet with full setup
- Full fit-out + equipment included
- Dedicated relationship manager
- Higher revenue ceiling — ₹50–55L/month

Both tiers include: brand license, SOP manual, supplier tie-ups, staff training, and ongoing operational support.

Revenue Model

Consistent monthly revenue with significant peak upside

₹30–35L

Average Monthly Revenue

₹50–55L

Peak Monthly Revenue

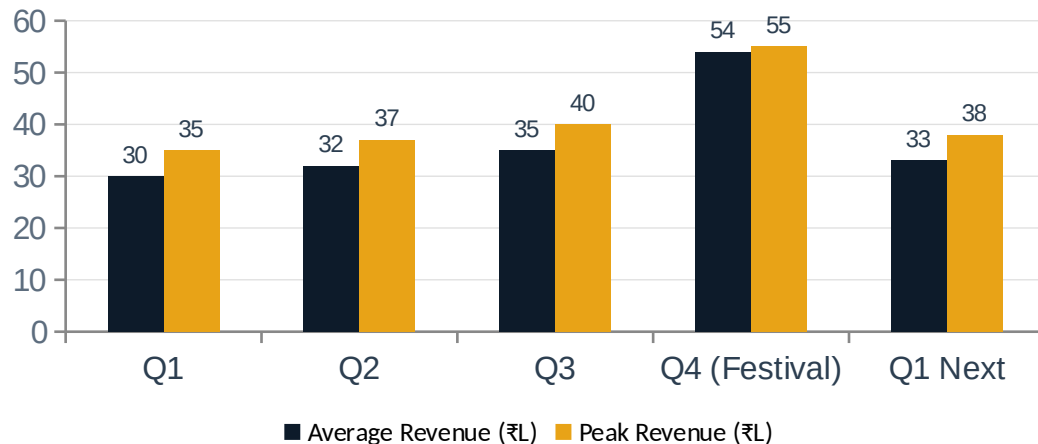
25+

Active Franchise Outlets

~70%

Offline Revenue Share

Monthly Revenue Range (₹ Lakhs)



Weekends: Contribute ~55% of weekly revenue

Online Growth: 30% delivery mix, growing 8–10% YoY

Per Outlet: ₹30–35L/month at steady state

Profitability & Unit Economics

How the numbers work — per outlet, per month

Monthly Cost Structure (Per Outlet — Avg. ₹30–35L Revenue)

Cost Head	% of Revenue	Approx. ₹ (Lakh)
Raw Materials / Food Cost	28–32%	8.4–9.6L
Staff & Labour	18–22%	5.4–6.6L
Rent & Utilities	12–15%	3.6–4.5L
Royalty to Brand	4–6%	1.2–1.8L
Marketing & Promotions	3–5%	0.9–1.5L
Packaging & Delivery Costs	3–4%	0.9–1.2L
Misc / Contingency	2–3%	0.6–0.9L
Total Costs	70–82%	~24–26L
NET PROFIT MARGIN	15–25%	5–8L / month

Unit Economics at a Glance

Break-Even Period	18–24 months
Monthly Net Profit	₹5–8 Lakh
Annual ROI (Tier B)	~18–22%
Annual ROI (Tier A)	~20–26%
Payback Period	~4–5 years

Operations & Customer Flow — Kapoors Cafe

70% offline dominance with a fast-growing 30% digital wing



Kapoors Cafe — A packed house — the offline experience at its best

OFFLINE — 70%

- Table turnover: 3-4x weekdays, 5x weekends
- Walk-ins + reservations via phone & in-person
- Handles events, birthdays, corporate lunches
- Customer experience drives word-of-mouth growth
- Avg. order value: ₹400-₹600 per person

ONLINE — 30%

- Delivery via Swiggy, Zomato & own channel
- Growing at 8-10% YoY — strong upward trend
- Avg. delivery order: ₹300-₹450 per order
- Peak hours: 12-2 PM and 7-10 PM daily
- Target: grow online share to 40% by Year 3

People & Culture

The human engine behind the business — built on trust, not transactions

500–600

Employees across
all outlets



Culture & People Philosophy

Employees = Family

Long-term retention focus; staff welfare treated as business investment, not cost.

Franchise Partners = Friends

Relationships built on mutual respect, shared success & transparent communication.

Meritocracy First

Promotions & opportunities based on performance — not seniority or connections.

Training Culture

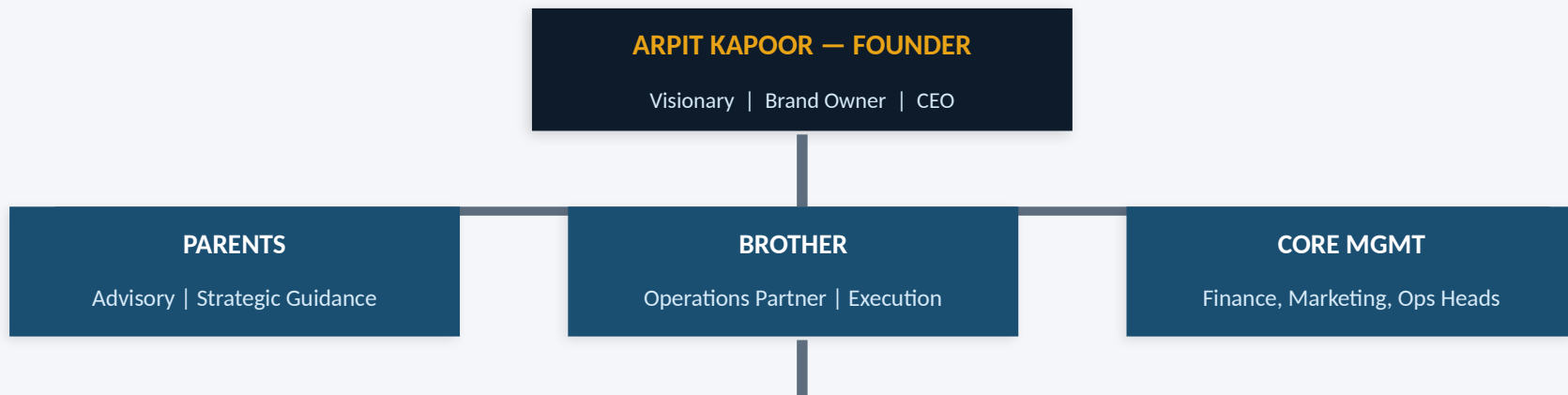
Regular upskilling in SOPs, food safety, hospitality & brand values.

Low Attrition Goal

Retention-focused policies reduce hiring cost and preserve institutional knowledge.

Organizational Structure

Lean at the top — scalable at the edges



FRANCHISE PARTNERS (25+ Outlets)

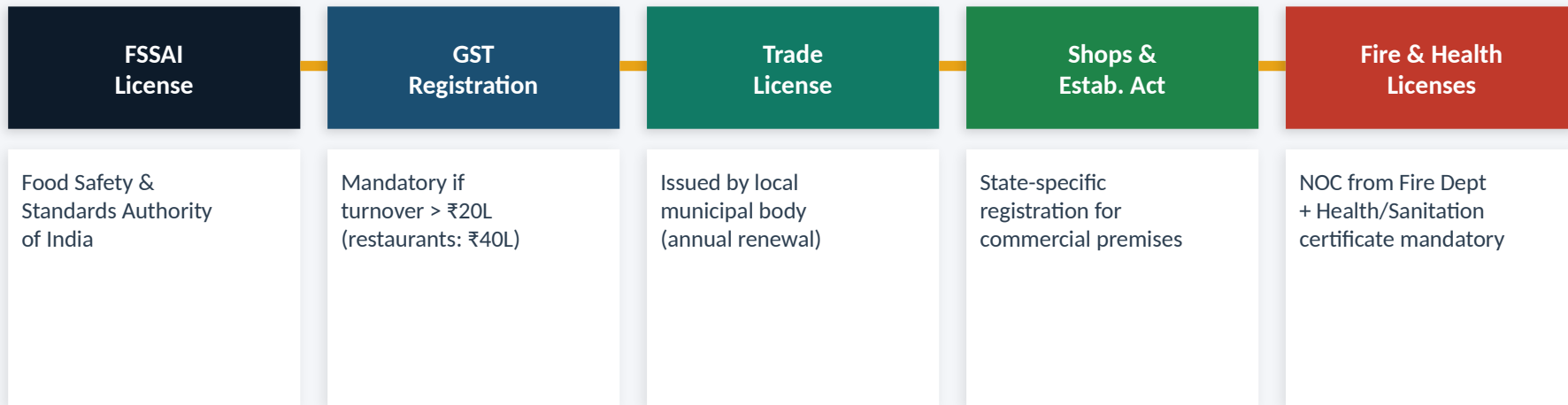
**Policy: NO family member
holds a franchise**

*Merit-only selection ensures
objectivity, trust & brand integrity.*

Team with Branch Manager a

Licensing & Legal Framework (India)

Every outlet must clear this compliance checklist before operations begin



Additional Compliance Requirements

FSSAI Renewal

Annual — penalty of ₹5L+ for lapse; crucial for franchise credibility

Liquor License

Optional — needed only for outlets serving alcohol (Tier A outlets)

Eating House License

Required in metro cities like Delhi, Mumbai — separate from trade license

Copyright / Trademark

Brand name, logo & menu IP registered under Trade Marks Act, 1999

Taxation Benefits for This Business

How the tax framework works in the franchise model's favour

5% GST → Competitive Pricing

Operating under 5% GST (no ITC) keeps pricing competitive vs hotel-restaurant rivals at 18%. Lower tax pass-through = better value perception.

Simplified GST Compliance

Monthly/quarterly GSTR-1 & 3B filings. Composition scheme option for smaller outlets (turnover < ₹1.5 Cr) simplifies compliance further.

Franchise Model Spreads Tax Liability

Each franchisee is an independent legal entity — separate GST registration, separate P&L. Brand company carries only royalty/fee income tax.

MSME Registration Benefits

Eligible for priority lending, collateral-free loans under CGTMSE, subsidized electricity & protection against delayed payments.

New Tax Regime Advantage

For franchise partners with lower deductions, New Regime offers lower effective rates — improves post-tax returns on franchise investment.

TDS on Franchise Fees

Royalty income from franchisees subject to TDS under Sec 194J (10%). Proper structuring ensures clean, audit-proof income recognition.

Income Tax: Old Regime vs New Regime

Slab / Feature	OLD REGIME	NEW REGIME (Default from FY 2024-25)
Up to ₹3 Lakh	Nil	Nil
₹3L – ₹6L	5%	5%
₹6L – ₹9L	20%	10%
₹9L – ₹12L	20%	15%
₹12L – ₹15L	30%	20%
Above ₹15L	30%	30%
Standard Deduction	₹50,000	₹75,000
HRA / 80C / 80D	Available	NOT available
Best for...	High deductions (HRA, investments)	Simpler filing, lower middle-slab rates

Government Policies & Support

Key schemes that empower restaurant & franchise entrepreneurs in India

Startup India

DPIIT — Dept. of Promotion of Industry & Internal Trade

Key Benefits:

- 3-year income tax holiday (Sec 80-IAC)
- Self-certification for 9 labour laws
- Faster IP filing at reduced fees
- Access to ₹10,000 Cr Fund of Funds

Relevance:

Applicable if business registered as Startup — useful in early years

MSME Scheme

Ministry of Micro, Small & Medium Enterprises

Key Benefits:

- Collateral-free loans under CGTMSE
- Interest subvention on term loans
- Udyam Registration for subsidies
- Priority sector lending access

Relevance:

Most franchise outlets qualify — turnover < ₹250 Cr threshold

PM Mudra Yojana

Ministry of Finance — via Scheduled Commercial Banks

Key Benefits:

- Shishu: up to ₹50,000
- Kishore: ₹50,000 – ₹5 Lakh
- Tarun: ₹5 Lakh – ₹10 Lakh
- No collateral for Shishu & Kishore

Relevance:

Ideal for small franchise partners entering the business

Key Challenges

Reality check — the hard truths behind a franchise restaurant business

01

High Initial Investment

HIGH

₹90L–₹3 Cr per outlet locks up capital; wrong location choice can mean prolonged break-even.

02

Licensing Complexity

HIGH

5+ licenses required before operations; delays in FSSAI, fire NOC or municipal approvals can push timelines.

03

GST Compliance Burden

MEDIUM

Monthly filings, reconciliation of GSTR-1 & 3B, TDS management — requires dedicated finance resources.

04

Quality Consistency at Scale

HIGH

Maintaining food quality & service standards across 25+ outlets with different partners is the #1 challenge.

05

High Competition

MEDIUM

Urban markets saturated with QSR chains, cloud kitchens & well-funded startups. Differentiation is critical.

06

Talent Retention

MEDIUM

Restaurant sector has 35–40% annual attrition. Skilled chefs & managers exit to competitors or start own ventures.

Risk Management

How the business mitigates its biggest threats — proactively and systematically

RISK: Quality Degradation

→ SOP Standardization

Comprehensive SOPs for every outlet — recipe portions, plating, cleaning & staff conduct. Non-negotiable, audited quarterly.

RISK: Partner
Mismanagement

→ Franchise Audits

Surprise and scheduled audits by central quality team. Mystery shoppers deployed monthly. Failing 2 audits = franchise review.

RISK: Brand Dilution

→ Brand Control Framework

All marketing, social media & menu changes approved by HQ. Franchisees cannot independently rebrand, discount or alter core offerings.

RISK: Cash Flow Issues

→ Franchise Fee Structure

Upfront franchise fee + royalty model ensures brand entity has predictable cash inflows independent of outlet performance swings.

RISK: Regulatory Non-
Compliance

→ Compliance Tracker

Centralised license renewal calendar. Legal team flags due dates 60 days in advance. Non-renewal triggers brand support intervention.

RISK: Key Person Dependency

→ Succession Planning

Core management trained to operate without founder in day-to-day decisions. Documented brand playbook enables decentralized leadership.

VISION & FUTURE GROWTH

"My goal is not just profit — it is to employ 5,000 families."

50+

**Franchise
Expansion**

Scale from 25 to 50+ outlets in 3 years
Focus: Tier 2 & 3 cities
Capital-light franchising model continues

40%

**Online
Growth**

Grow online from 30% to 40% of revenue
Own delivery app launch planned
Cloud kitchen model for delivery-only markets

5000+

**Employment
Goal**

Direct + indirect jobs across franchise network
Women's employment drive in partner outlets
Skill development centre for F&B workforce

CONCLUSION

A Blueprint for Scalable Entrepreneurship in India

- Success built on grit, savings & execution — not privilege or luck
- Kapoors Cafe: proven brand built from ₹12L to 25+ franchise network
- People-first culture — employees as family, partners as friends
- Smart compliance: 5% GST, MSME benefits & government schemes leveraged
- Vision extends beyond revenue — social impact through employment
- Execution > Ideas: the systems, SOPs & audits are what make it scalable